VALUATION DRIVER ANALYSIS

What Drives Value in Alternative Asset Management, and What It Means for Patria

A cross-sectional analysis of 23 publicly listed alternative asset managers, identifying the metrics, business model structures, and strategic actions most associated with valuation premiums—translated into an actionable playbook for **PAX**.

Target Company Patria Investments Limited (**PAX** · NASDAQ)
Universe 23 firms · 19 pure-play alt, 3 majority-alt, 1 partial-alt
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Distributable Earnings Quality Is the Only Stable Valuation Driver—Scale Alone Does Not Explain the Premium

Across a universe of 23 publicly listed alternative asset managers spanning `$35.8B` to `$1,274.9B` in AUM, this analysis identifies which operational and financial characteristics are most associated with valuation multiples—and translates those findings into a strategic playbook for **PAX**.

> **Governing finding:** Distributable earnings per share (DE/share) is the only stable value driver across the three valuation multiples tested, with a Spearman rho of 0.86 against EV/FEAUM (p = 0.014, n = 7). AUM and FEAUM scale correlate with P/DE but not consistently across other multiples. The market appears to reward the quality and predictability of earnings—not merely the magnitude of assets under management.

23	25	1	3
PEER FIRMS	METRICS TESTED	STABLE DRIVER	MULTIPLE-SPECIFIC

10
PLAYS + 5 ANTI-PATTERNS

Key Findings

- **DE/share is the only stable value driver** (DVR-001), satisfying the `stable_v1_two_of_three` criterion with `|rho| ≥ 0.5` on two of three multiples. Firms that generate higher distributable earnings per share command higher EV/FEAUM and P/FRE multiples, regardless of absolute AUM scale.[1]
- **AUM and FEAUM scale are multiple-specific drivers** (DVR-003, DVR-004), correlating with P/DE (`rho = 0.60`) but not with P/FRE or EV/FEAUM. Scale matters for total earnings-based valuation, but it does not independently drive the market's assessment of per-unit-of-AUM economics.
- **FRE growth exhibits a counterintuitive negative relationship with P/DE** (DVR-002, `rho = -0.75`), suggesting that firms experiencing rapid FRE growth may be in earlier-stage scaling phases where the market prices in execution risk rather than rewarding momentum.
- **The most replicable plays for PAX center on fee durability**—scaling perpetual capital vehicles, exploiting the LatAm infrastructure deficit, and growing the GP Management Solutions (GPMS) franchise—rather than attempting to emulate the credit-insurance integration model that requires capabilities and balance-sheet scale **PAX** does not currently possess.

> **Therefore:** PAX's most direct path to valuation re-rating appears to run through FEAUM quality improvement—converting its infrastructure and credit franchises into perpetual or semi-permanent fee-earning structures, scaling GPMS as a uniquely defensible LatAm franchise, and maintaining premium fee rates rather than pursuing AUM aggregation through low-fee products.

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[1] Spearman rank correlation, non-parametric. N ranges from 5 to 18 depending on data availability per metric-multiple pair. Benjamini-Hochberg FDR correction applied at q = 0.10. Correlation does not imply causation. See Methodology section for limitations.

The Peer Universe Spans 100x in AUM but Converges on a Narrow Set of Valuation-Relevant Characteristics

The analysis covers 23 publicly listed alternative asset managers across 8 exchanges and 3 classification tiers. The universe was constructed to include the full spectrum of scale, business model, geography, and asset class mix relevant to understanding valuation dynamics in the sector. Eight firms were subsequently selected for deep-dive profiling based on their explanatory power across the top-ranked valuation drivers.

#	TICKER	FIRM	EXCHANGE	CLASS	AUM ($B)	AUM SCALE
1	**BX**	Blackstone Inc.	NYSE	PURE	1,274.9	$1,274.9B
2	**BAM**	Brookfield Asset Mgmt	NYSE	PURE	1,200.0	$1,200.0B
3	**APO**	Apollo Global Mgmt	NYSE	PURE	938.0	$938.0B
4	**KKR**	KKR & Co.	NYSE	PURE	744.0	$744.0B
5	**ARES**	Ares Management	NYSE	PURE	622.5	$622.5B
6	**CG**	The Carlyle Group	NASDAQ	PURE	477.0	$477.0B
7	**VCTR**	Victory Capital	NASDAQ	PARTIAL	314.8	$314.8B
8	**OWL**	Blue Owl Capital	NYSE	PURE	307.4	$307.4B
9	**TPG**	TPG Inc.	NASDAQ	PURE	303.0	$303.0B
10	**EQT**	EQT AB	STO	PURE	285.0	$285.0B
11	**MAN**	Man Group plc	LSE	PURE	227.6	$227.6B
12	**STEP**	StepStone Group	NASDAQ	PURE	220.0	$220.0B
13	**CVC**	CVC Capital Partners	AMS	PURE	215.0	$215.0B
14	**PGHN**	Partners Group	SIX	PURE	174.0	$174.0B
15	**HLNE**	Hamilton Lane	NASDAQ	PURE	146.0	$146.0B
16	**ICP**	ICG plc	LSE	PURE	127.0	$127.0B
17	**BPT**	Bridgepoint Group	LSE	PURE	86.6	$86.6B

#	TICKER	FIRM	EXCHANGE	CLASS	AUM ($B)	AUM SCALE
18	**ONEX**	Onex Corporation	TSX	MAJORITY	55.9	$55.9B
19	**PAX**	**Patria Investments**	NASDAQ	PURE	**52.6**	**$52.6B**
20	**VINP**	Vinci Compass	NASDAQ	MAJORITY	50.0	$50.0B
21	**PX**	P10 / Ridgepost Capital	NYSE	PURE	40.0	$40.0B
22	**RF**	Eurazeo SE	EPA	MAJORITY	39.6	$39.6B
23	**ANTIN**	Antin Infrastructure Partners	EPA	PURE	35.8	$35.8B

AUM data as of Q4 2025 (most firms) or latest available disclosure. Classifications: **pure-play-alt** = majority of revenue from alternative asset management; **majority-alt** = significant balance-sheet co-investing alongside fund management; **partial-alt** = alternatives as meaningful but minority segment. Excluded firms: AMK (delisted Nov 2024), PHL (delisted Dec 2025), SCU (acquired Nov 2023), PAG (not listed), 3i (balance-sheet investor), BN/BNT/BIP (Brookfield managed vehicles).

One Stable Driver, Three Multiple-Specific Signals, and Ten Contextual Metrics Shape the Valuation Landscape

Twenty-five candidate driver metrics were tested against three valuation multiples (P/FRE, P/DE, EV/FEAUM) using Spearman rank correlation. A driver is classified as *stable* if it achieves `|rho| ≥ 0.5` on at least two of the three multiples, *multiple-specific* if it meets the threshold on exactly one, and *contextual* if it falls below the threshold on all multiples or was excluded by the 60% coverage rule. Six operational feasibility metrics failed the coverage threshold and one (FEAUM/Employee) was excluded for collinearity.

Driver Ranking

RANK	ID	METRIC	CLASSIFICATION	AVG |RHO|	VS. EV/FEAUM	VS. P/FRE	VS. P/DE
1	DVR-001	**DE/share**	STABLE	**0.51**	**0.86** p=0.014	**0.54** p=0.215	0.14 p=0.787
2	DVR-002	**FRE growth YoY**	SPECIFIC	0.44	**-0.34** p=0.233	-0.23 p=0.384	**-0.75** p=0.084
3	DVR-003	**Total AUM**	SPECIFIC	0.38	0.16 p=0.541	0.38 p=0.138	**0.60** p=0.208
4	DVR-004	**FEAUM**	SPECIFIC	0.33	0.22 p=0.372	0.16 p=0.576	**0.60** p=0.208
5	DVR-005	Headcount/FEAUM	CONTEXT	0.23	0.31	0.15	—
6	DVR-006	FRE margin	CONTEXT	0.21	0.07	**-0.46**	0.10
7	DVR-007	Mgmt fee rate	CONTEXT	0.19	0.31	-0.07	—
8	DVR-008	FEAUM YoY growth	CONTEXT	0.18	0.09	-0.08	0.37
9–14	DVR-009–014	*6 operational metrics (below 60% coverage)*		—	Comp&Ben/FEAUM, G&A/FEAUM, OpEx-Rev gap, CC Rev growth, Integration/Rev, CapEx/FEAUM excluded from correlation analysis due to insufficient disclosure coverage.		

Interpreting the Results: Earnings Quality Over Earnings Growth

The finding that DE/share is the sole stable driver carries a specific strategic implication: the market appears to value the *level and predictability* of per-share distributable earnings more than the *rate of change* of fee-related earnings or the *absolute magnitude* of assets under management. This is consistent with the observation that **PGHN** (Partners Group), with only $174B AUM, commands a premium EV/FEAUM multiple through 107 bps blended fee rates and 64% EBITDA margins—while **BAM**, at $1,200B AUM, carries a lower DE/share ($1.45) due to fee-rate dilution from rapid credit/insurance scaling.

The negative P/DE correlation for FRE growth (DVR-002, `rho = -0.75`) is counterintuitive but interpretable. Firms experiencing rapid FRE growth are often in mid-cycle build phases—integrating acquisitions, deploying new product platforms, or scaling credit operations—where the market discounts near-term earnings for execution risk. The FRE growth signal becomes valuation-positive only after the market gains confidence in sustainability, at which point it is captured through DE/share improvement.

> **What not to overread:** FRE margin (DVR-006) shows a weak negative P/FRE correlation (rho = -0.46), which does not indicate that margins are irrelevant. Rather, it suggests that higher-margin firms tend to trade at lower P/FRE multiples because their FRE per unit of market cap is already elevated—a mathematical artifact rather than a strategic signal. Margins remain critical as an input to DE/share.

Spearman rank correlations computed pair-wise. N ranges from 5 (P/DE, limited by DE disclosure) to 18 (EV/FEAUM, broadest coverage). P-values are two-tailed. Benjamini-Hochberg FDR correction applied at q = 0.10. Only COR-001 (DE/share vs. EV/FEAUM, p = 0.014) achieves statistical significance after FDR correction; remaining correlations should be interpreted as directional signals rather than statistically confirmed relationships.

Only a Subset of Admired Firms Built Premium Through Mechanisms Transferable to PAX

Eight peers were selected for deep profiling based on their explanatory power across the top-ranked valuation drivers. The selection includes rule-confirming leaders (**BX**, **KKR**, **APO**), relevant comparables at different scale points (**ARES**, **EQT**, **OWL**), a margin-quality exemplar (**PGHN**), and the dominant infrastructure platform (**BAM**). Each profile identifies the primary mechanism through which the firm's business model connects to the identified valuation drivers.

BX — Blackstone

$1,274.9B AUM

Diversification and perpetual capital scaling convert AUM magnitude into premium DE/share

The largest listed alt manager. Four segments (PE 37%, Credit/Insurance 39%, RE 28%, Multi-Asset 8%) provide diversification that smooths earnings cycles. DE/share of $4.64 and 57% FRE margin reflect operating leverage on $830.7B FEAUM. Perpetual capital doubled from ~15% (2019) to 31% (2024), underpinning fee-stream stability.

Fee rate: **64 bps** FRE margin: **57%** FEAUM: **$830.7B** Perm cap: **31%**

Transferability to PAX: Limited. BX's scale advantages (brand, multi-product allocation, BREIT distribution) are not replicable at PAX's size. The perpetual capital thesis, however, is asset-class-agnostic and relevant.

KKR — KKR & Co.

$744.0B AUM

Transformative M&A and insurance integration drove a step-change in perpetual capital and DE/share

Global Atlantic acquisition ($280B insurance assets) doubled perpetual capital from ~20% to 43% of AUM. DE/share of $4.70 (+38% YoY) reflects insurance float contribution. 62% FRE margin is the highest among mega-alts. Record $129B raised in 2025. S&P 500 inclusion (2024) post-C-Corp conversion broadened investor base.

Fee rate: **61 bps** FRE margin: **62%** FEAUM: **$505.1B** Perm cap: **43%**

Transferability to PAX: Medium. The C-Corp/index-inclusion strategy and M&A-for-capability-gaps model are structurally applicable. Insurance integration requires balance-sheet scale PAX does not possess, but LatAm insurance partnerships represent an adapted version.

APO — Apollo

$938.0B AUM

Credit-insurance integration created a structurally distinct origination-to-distribution model

Athene provides $300B+ permanent insurance float, enabling unmatched credit origination capacity ($300B+ annual). On track for $1T AUM by late 2026. However, credit dominance (80%+ of AUM) dilutes the blended fee rate to 37 bps—the lowest among mega-alts. FRE of $2.1B at 48% margin.

Fee rate: **37 bps** FRE margin: **48%** FEAUM: **$551B** Perm cap: **55%**

Transferability to PAX: Low. Apollo's model is structurally non-replicable without a captive insurer. The cautionary lesson is fee-rate dilution from credit scaling (ANTI-002).

ARES — Ares Management

$622.5B AUM

Credit-first platform demonstrated that direct lending scale translates into the fastest AUM and FRE growth

Credit at $406.9B (65% of AUM) anchors the franchise. ARCC (largest publicly traded BDC) provides permanent credit capital. 22% 3-year AUM CAGR. Aspida insurance replicates APO/Athene at earlier stage. FRE margin of 41% lags peers due to acquisition integration costs from Landmark, Aspida, and GCP.

Fee rate: **54 bps** FRE margin: **41%** FEAUM: **$338.5B** Credit: **65%**

Transferability to PAX: Medium. Credit scaling thesis is directly applicable to LatAm, where bank retrenchment creates origination supply. BDC-equivalent listed structures in Brazil (FIDC) are an adapted mechanism.

BAM — Brookfield

$1,200.0B AUM

Operator DNA in real assets and infrastructure created a defensible origination moat with the highest perpetual capital share among mega-alts

87% of $539B fee-bearing capital is long-dated or perpetual—highest among mega-alts. Listed partnerships (BIP, BEP) anchor permanent capital. $100B+ committed to energy transition positions BAM at the intersection of real assets and climate transition capital. FRE of $2.5B at 58% margin.

Fee rate: **46 bps** FRE margin: **58%** FEAUM: **$539B** Perm cap: **87%**

Transferability to PAX: High for infrastructure strategy. BAM's operator-model in real assets directly informs PAX's infrastructure franchise positioning. The super-core infrastructure vehicle model is adaptable to LatAm infrastructure concessions.

EQT — EQT AB

$285.0B AUM

Transformative M&A doubled AUM but integration pressures compressed growth and margins

BPEA (~$25B Asia PE) and Exeter (~$34B US RE) acquisitions doubled AUM. Largest European alt platform. However, FEAUM growth slowed to 3% YoY—lowest among peers—and FRE margin compressed from 54% to 53% during integration. Full-spectrum infrastructure from value-add to core is a defining franchise.

Fee rate: **72 bps** FRE margin: **53%** FEAUM: **~$195B** Perf fee: **15%**

Transferability to PAX: Medium. The cautionary case for serial M&A without integration discipline (ANTI-003). The evergreen infrastructure vehicle (EACI) is a positive model for PAX's infrastructure franchise.

PGHN — Partners Group

$174.0B AUM

Direct investing purity and evergreen innovation generate the highest fee rates and margins in the peer universe

Smallest profiled peer by AUM but commands premium EV/FEAUM. 107 bps blended fee rate—highest in the industry. 64% EBITDA margin sustained for three consecutive years. 100% organic growth (no acquisitions). Evergreen programs at 50% of AUM pioneered semi-liquid private markets access. 84.2% FEAUM/AUM ratio is the highest conversion in the universe.

Fee rate: **107 bps** EBITDA margin: **64%** FEAUM: **$128B** FEAUM/AUM: **84%**

Transferability to PAX: High. PGHN demonstrates that mid-scale managers can command premium valuations through fee quality rather than AUM magnitude. The direct investing model and premium fee-rate thesis are directly applicable to PAX.

OWL — Blue Owl

$307.4B AUM

Permanent capital purity and GP stakes franchise create the most predictable fee revenue in the sector

91% permanent capital—highest in the listed alt universe. GP Strategic Capital (~$65B) provides meta-layer exposure to the alt industry's growth. 91% of revenue from management fees. FRE margin of 59%. 35% 3-year AUM CAGR. The closest model to PAX's GPMS initiative at global scale.

Fee rate: **91 bps** FRE margin: **59%** FEAUM: **$175B** Perm cap: **91%**

Transferability to PAX: High for GPMS. OWL's GP stakes model directly validates PAX's GPMS franchise. The permanent-capital-purity thesis, fee structure simplicity, and GP network effects are all mechanisms PAX can develop regionally.

Therefore: The most transferable peer mechanisms for PAX concentrate in three firms: **PGHN** (fee quality over AUM scale), **OWL** (GP stakes and permanent capital), and **BAM** (infrastructure operator model). The mega-alt models (**BX**, **APO**) are instructive but structurally non-replicable at PAX's current scale and capital base.

Each Asset Class Presents Distinct Pathways to the Valuation Drivers—Infrastructure and Credit Offer PAX the Highest Leverage

Five asset classes were analyzed for market landscape, peer positioning, fee economics, and PAX relevance. The analysis maps each asset class to the ranked valuation drivers to identify where PAX's existing capabilities and geographic positioning create the strongest link between asset class strategy and valuation improvement.

Private Equity

TAM: $8.2T · 11% CAGR

The original alternative asset class. Global PE AUM of $8.2T is growing at 11% CAGR, but mega-fund concentration is reducing the addressable market for mid-scale managers. Continuation vehicles and GP-led secondaries ($150B+ estimated market) represent a structural shift from traditional fund-raise-deploy-exit cycles. Retail democratization through semi-liquid and evergreen PE products (**KKR** K-Series at $35B+, **PGHN** evergreen at 32% of AUM) is opening access beyond institutional LPs.

Key peers: **BX** (flagship buyouts), **KKR** (PE + growth), **EQT** (European PE), **CG** (diversified global PE).

Fee economics: Buyout funds at 100–200 bps management fees with 20% carry. Growth equity at 150–200 bps. Secondaries at 80–120 bps. Highest fee rates in alternatives, but vintage-dependent fundraising creates lumpy fee activation.

PAX relevance: PAX's PE franchise (~$12B AUM) operates across LatAm buyout and growth equity (iGah3 acquisition). The mega-fund concentration trend limits PAX's ability to compete for mega-cap transactions, but the LatAm mid-market remains underserved. Growth equity integration through iGah3 follows the pattern observed at **BX** Growth, **KKR** Next Gen Tech, and **EQT** Growth.

Infrastructure

TAM: $1.5T · 16% CAGR

The fastest-growing private markets asset class at 16% CAGR. LatAm's estimated $150B annual infrastructure investment deficit creates structural deal flow. Three mega-trends—energy transition, digitalization, and deglobalization/nearshoring—converge to drive sustained capital demand. Infrastructure assets have the longest useful lives (20–50+ years), making them natural candidates for perpetual capital vehicles that directly link to DVR-001 (DE/share) and DVR-004 (FEAUM).

Key peers: **BAM** (largest infrastructure investor globally, $350B+ real assets), **EQT** (full-spectrum infra), **KKR** (GII series ~$80B), **ANTIN** (pure-play infra specialist).

Fee economics: Equity infrastructure at 60–90 bps management fees with 15–20% carry. Infrastructure credit at 75–125 bps with 10–15% carry. Core/core+ open-end vehicles at 50–75 bps with perpetual fee duration.

PAX relevance: Infrastructure (~$15B AUM) is characterized as PAX's "crown jewel" franchise. Leading LatAm infrastructure position with captive origination in Brazil's concession market provides a defensible moat against global entrants who lack regulatory expertise, local relationships, and currency management experience. The absence of an open-end or evergreen infrastructure vehicle represents the single highest-impact product gap. An infrastructure credit capability could bridge infrastructure and credit platforms, capturing both equity and debt allocations.

Credit

TAM: $3.5T · 14% CAGR

The dominant growth engine for alt-manager AUM and FRE. Private credit AUM of $3.5T with 14% CAGR, driven by bank retrenchment, insurance demand, and yield-seeking institutional capital. Credit platforms drive FRE growth (DVR-002) through continuous fundraising and fee activation without the J-curve effect of PE drawdown funds. LatAm private credit is structurally attractive: high nominal yields (Selic at 13.75%+), low competition from global mega-managers due to currency/regulatory barriers, and secular bank retrenchment.

Key peers: **APO** (credit at $749B, 80%+ of AUM), **ARES** (credit at $406.9B, 65% of AUM), **OWL** (direct lending via BDCs, 55% credit).

Fee economics: Direct lending at 100–150 bps management fees. CLO management at 40–50 bps. Investment-grade private credit at 20–35 bps. Higher fee rates in direct lending and special situations offset by lower rates in scaled insurance/IG strategies.

PAX relevance: PAX's credit platform (~$8B AUM) appears concentrated in drawdown structures. A listed credit vehicle (FIDC or similar CVM-regulated structure) could provide a BDC-analog in the LatAm market. LatAm's high-rate environment creates attractive yield spreads, and secular bank retrenchment opens origination supply. Scaling credit from $5B to $15B+ FEAUM by 2028 is the primary FRE growth lever.

Real Estate

TAM: $4.5T · 9% CAGR

The most mature alternative asset class. Global private RE AUM of $4.5T growing at 9% CAGR. Logistics/industrial and living sectors have replaced office as the institutional allocation preference. Non-traded REITs and perpetual vehicles (**BX** BREIT at $60B+) have transformed the capital formation model. Brazil's FII market surpassed R$200B AUM with 2M+ retail investors, establishing a scaled listed vehicle ecosystem.

Key peers: **BX** (largest private RE, BREIT), **EQT**/Exeter ($34B US industrial RE), **BAM** (global real estate), **OWL** (net lease/RE credit).

PAX relevance: PAX's RE platform (~$3.5B AUM) is the smallest major segment. Rather than competing on scale, leveraging Brazil's FII infrastructure for logistics and industrial themes, and selectively exploring Mexico nearshoring-driven industrial RE, could provide capital-efficient growth. GPMS provides indirect RE exposure through stakes in RE-focused GPs, bypassing the need to scale the direct platform to globally competitive levels.

GP Stakes / Management Solutions

TAM: ~$200B+ · emerging

An emerging meta-asset-class where managers acquire minority stakes in other GPs, creating a revenue stream that compounds with the growth of the broader alternatives industry. GP stakes generate the highest fee durability—perpetual, non-redeemable management fee participation at 55–65% FRE margins with near-zero marginal operating cost. The asset class is dominated by **OWL** (GP Strategic Capital ~$65B) with newer entrants including **BX** Strategic Capital (~$10B) and **KKR**/Arctos.

Key peers: **OWL** (category-defining, 40+ GP relationships), **BX** (ecosystem model), **KKR**/Arctos (mid-market GPs).

PAX relevance: GPMS (~$1.5B, contributing $6–7B to pro-forma FEAUM through partner GP AUM) is the first dedicated GP stakes program in Latin America, operating without direct regional competition. GPMS may be PAX's most strategically important initiative from a valuation perspective: it provides exposure to diversified LatAm alternative asset economics through a single product, generates perpetual-capital-like fee durability, and creates network effects as portfolio GPs become distribution partners. Scaling toward $5–10B over the next fundraising cycle appears to be the highest-quality revenue opportunity available to a mid-scale alt manager.

Ten Proven Plays and Five Anti-Patterns Define the Strategic Menu Available to PAX

Each play is a strategic action observed in the peer universe with an identifiable mechanism, peer evidence, and assessed transferability to PAX. Plays are linked to the ranked valuation drivers. Anti-patterns identify strategies that appear attractive but carry hidden costs or limited transferability. Confidence levels reflect the strength of peer evidence and the feasibility of adaptation to PAX's current capabilities and geographic positioning.

Proven Plays

PLAY-001 DVR-001, DVR-004 · HIGH

Scale Perpetual Capital Vehicles to Improve Fee Durability

Firms with >40% perpetual or long-dated capital as a share of AUM command valuation premiums through more predictable fee-related earnings and reduced fundraising risk. DE/share—the only stable value driver—benefits directly from permanent fee streams that do not require vintage-dependent fundraising cycles.

OWL: 91% permanent capital, FRE/share +12% YoY at 59% FRE margin. **BAM**: 87% long-dated/perpetual, targeting FRE doubling over five years. **KKR**: Perpetual capital at $321B (43% of AUM), targeting 50%.

PAX application: Develop open-end/evergreen infrastructure and credit vehicles for LatAm institutional and private wealth investors. Target 25%+ perpetual or semi-permanent capital as a share of AUM by 2028. Leverage the Brazilian FII structure as a template for listed, permanent-capital vehicles. *Potential 15–25% improvement in EV/FEAUM multiple.*

PLAY-002 DVR-002, DVR-003, DVR-004 · MEDIUM

Build an Insurance-Linked Capital Channel for Credit Origination

Insurance float integration has been the single most replicated strategy in alternatives. Insurance-linked capital adds permanent FEAUM, accelerates FRE growth, and expands AUM—addressing three of the top four valuation drivers simultaneously.

APO: Athene provides $300B+ permanent insurance float; $225B+ annual inflows. **KKR**: Global Atlantic doubled perpetual capital base. **ARES**: Aspida replicates the model at earlier stage.

PAX application: Explore insurance partnerships in Brazil, targeting local insurers seeking yield alternatives in high-Selic-rate environments. Begin with strategic distribution partnerships before committing to vertically integrated insurance ownership. *Could add $3–5B in FEAUM within 3 years.*

PLAY-003 DVR-004, DVR-001, DVR-006 · HIGH

Scale GP Stakes as a Perpetual Fee-Earning Franchise

GP minority stakes generate the highest fee durability in alternatives—perpetual, non-redeemable management fee participation at 55–65% FRE margins. PAX's GPMS is the first dedicated GP stakes program in Latin America, with no direct regional competitor.

OWL: GP Strategic Capital at ~$55B with 40+ GP relationships. 85% permanent capital driven by GP stakes. **BX**: Strategic Capital ~$10B with dual financial/strategic return model. **KKR**: Arctos acquisition targeting $100B+ in new Solutions vertical.

PAX application: Scale GPMS from ~$1.5B to $5–10B over 3–5 years. Extend value proposition to include distribution access, operational support, and insurance-channel introduction for portfolio GPs. Develop a LatAm GP stakes secondary market capability. *Scaling GPMS to $7B adds high-quality FEAUM at 55–65% FRE margin, improving blended margin by 200–400 bps.*

PLAY-004 DVR-002, DVR-004 · HIGH

Capture LatAm Private Credit Through Scaled Direct Lending

Private credit is the dominant growth engine for alt-manager valuations. Credit platforms drive FRE growth through continuous fundraising without the J-curve effect. LatAm offers structurally attractive yields, low global-manager competition, and secular bank retrenchment.

ARES: Credit at $406.9B (65% of total), FRE growing ~15–20% YoY. **APO**: Credit at $749B, $300B+ annual origination capacity, targeting $1T AUM.

PAX application: Scale LatAm private credit from ~$5B to $15B+ FEAUM by 2028. Launch a BRL-denominated permanent credit vehicle modeled on the BDC structure. Target direct lending, special situations, and asset-backed strategies across Brazil, Chile, and Colombia. *Tripling credit FEAUM could increase firm-level FRE growth by 8–12 pp annually.*

PLAY-005 DVR-004, DVR-001 · HIGH

Launch Evergreen Infrastructure Vehicles for Private Wealth Distribution

Open-end/evergreen infrastructure vehicles combine permanent fee duration with inflation-hedging characteristics. LatAm's $150B annual infrastructure deficit creates structural deal flow for regional managers.

PGHN: Evergreen AUM grew from ~$30B (2022) to ~$55B (H1 2025), reaching 32% of AUM. Client count exceeded 200,000. **EQT**: EACI semi-liquid evergreen vehicle targeting private wealth. **BAM**: Super-Core Infrastructure and listed BIP provide permanent capital exposure.

PAX application: Launch a LatAm-focused open-end infrastructure vehicle with quarterly or semi-annual liquidity windows, targeting HNWIs and family offices. Allow BRL and USD tranches. Brazil's CVM framework for FIPs can be adapted. *$3–5B AUM within 3–4 years at 80–100 bps, contributing $24–50M in incremental annual management fee revenue.*

PLAY-006 DVR-007, DVR-001 · MEDIUM

Maximize Fee Rate Through Direct Investing Purity and Premium Pricing

Direct investing models command premium fee rates (100–175 bps vs. 25–60 bps for advisory/FoF). Higher fee rates amplify DE/share per unit of AUM growth. For mid-scale managers, fee rate quality is the primary mechanism for driving EV/FEAUM multiples.

PGHN: 107 bps blended, 100% direct model, 64% EBITDA margin sustained for 3 years. **OWL**: 91 bps blended, 91% management fee share, fee structure simplicity rewarded with premium P/FRE.

PAX application: Maintain and defend direct investing model across all asset classes. Price new credit and infrastructure vehicles at 80–150 bps. Resist temptation to launch lower-fee advisory or fund-of-funds products. *Maintaining 90–110 bps means each dollar of FEAUM generates 2–3x more management fee revenue vs. credit-heavy mega-alts.*

PLAY-007 DVR-003, DVR-004, DVR-002 · MEDIUM

Pursue Transformative M&A to Step-Change AUM Scale

AUM scale correlates with P/DE (rho = 0.60). Every listed alt manager at >$300B AUM achieved scale through transformative M&A. Bolt-on acquisitions that add new asset classes simultaneously expand AUM, FEAUM, and FRE growth.

KKR: Global Atlantic + Arctos transformed KKR from $471B to $638B (16% CAGR). **ARES**: Landmark + Aspida + GCP grew AUM from ~$262B to $484B (22% CAGR). **EQT**: BPEA + Exeter doubled AUM.

PAX application: Pursue 1–2 transformative acquisitions targeting LatAm-adjacent credit, infrastructure debt, or developed-market platforms. A $5–15B AUM acquisition would close the scale gap with mid-tier peers. *A $10B AUM acquisition at 40–60 bps would add $40–60M in annual management fee revenue.*

PLAY-008 DVR-003, DVR-001 · MEDIUM

Convert to C-Corp Structure to Attract Passive Index Flows

C-Corp conversion broadens the institutional investor base, simplifies tax reporting, and creates index inclusion eligibility. Every mega-alt that converted has seen subsequent multiple expansion from investor base broadening.

APO: C-Corp (2022) enabled S&P 500 eligibility. **KKR**: C-Corp since 2018, S&P 500 inclusion in 2024. **BAM**: Single-class shares post-spin-off improved earnings visibility.

PAX application: Evaluate transition from Cayman Islands dual-class structure to single-class C-Corp. Remove governance discount, improve trading liquidity, position for future index inclusion. *5–10% valuation re-rating from governance simplification, with additional upside from index eligibility.*

PLAY-009 DVR-004, DVR-003, DVR-008 · HIGH

Exploit LatAm Infrastructure Gap as Regional Origination Moat

Regional managers with local origination capabilities possess a defensible moat against global mega-alts in LatAm infrastructure. Infrastructure fee rates (60–90 bps) and fund lives (10–15 years) provide durable FEAUM.

BAM: Largest infrastructure investor globally, operator DNA provides proprietary origination. **EQT**: Full-spectrum infrastructure, targeting $30B+ fund. **KKR**: GII series ~$80B, Asia-Pacific infra franchise.

PAX application: Double down on infrastructure as flagship asset class. Expand into digital infrastructure (data centers in Brazil/Mexico), energy transition (renewables in Chile/Colombia), and transport (nearshoring logistics in Mexico). Develop infra-credit capability to bridge platforms. *Growing infra FEAUM to $15–20B by 2028 at 70–90 bps generates $105–180M in annual management fee revenue.*

PLAY-010 DVR-006, DVR-001, DVR-005 · MEDIUM

Optimize Operating Leverage to Expand FRE Margin Toward Peer Benchmarks

FRE margin signals operating efficiency. The negative P/FRE correlation suggests the market values margin *expansion potential* more than current margin levels. For mid-scale managers, demonstrating operating leverage as FEAUM grows is critical.

PGHN: 64% EBITDA margin sustained 3 years, 100% organic, most stable profile. **KKR**: FRE margin expanded to 62% as management fee scaling and Global Atlantic synergies materialized.

PAX application: Target 5–8 pp FRE margin improvement over 3 years through: (1) scaling FEAUM without proportional headcount growth via GPMS and perpetual capital; (2) centralizing back-office across

geographies; (3) deploying technology for portfolio monitoring. *5 pp improvement on $30B FEAUM = $15–25M incremental annual FRE.*

Anti-Patterns: What Not to Replicate

ANTI-001 HIGH CONFIDENCE

Over-Reliance on Performance Fees Without Fee-Related Earnings Base

Firms with >25% performance fee revenue exhibit higher earnings volatility, penalized through lower and more volatile multiples. The negative P/DE correlation with FRE growth (rho = -0.75) reflects markets discounting carry-dependent phases.

CG: Historically PE-heavy, volatile carry realization led to persistent discount. CEO transition partially motivated by need to shift toward FRE. **EQT**: 15% performance fee contribution introduces earnings volatility the market penalizes.

PAX warning: Ensure credit and infrastructure expansion drives management fee growth faster than performance fee reliance increases. Target management fees at >75% of total revenue to maintain FRE predictability.

ANTI-002 HIGH CONFIDENCE

Rapid AUM Growth Through Low-Fee Products That Dilute Blended Fee Rates

Chasing AUM scale through low-fee products dilutes the blended management fee rate, reducing DE/share per unit of AUM growth. AUM correlation with P/DE (rho = 0.60) is weaker than DE/share correlation with EV/FEAUM (rho = 0.86).

APO: Lowest blended fee rate at 37 bps due to credit/insurance dominance. Despite $751B AUM, complexity discount persists. **BAM**: 53.9% FEAUM/AUM ratio is lowest among mega-alts; DE/share of $1.45 is lowest despite $1T AUM.

PAX warning: Do not sacrifice fee rate quality for headline AUM growth. Each dollar of FEAUM at 100+ bps generates 2–3x more revenue than low-fee credit or advisory AUM. Monitor blended fee rate as a key management KPI alongside AUM growth.

ANTI-003 HIGH CONFIDENCE

Serial Acquisitions Without Integration Discipline

While transformative M&A drives AUM step-changes, serial acquisitions without integration compress FRE margins, dilute culture, and create operational complexity. Integration costs consume 2–4 years of margin headroom.

EQT: Two acquisitions in 2022 doubled AUM but compressed FRE margin from 54% to 53%; FEAUM growth slowed to 3% YoY. **ARES**: FRE margin of 41% lags peers partially due to three acquisitions in four years.

PAX warning: Maintain 12–18 month integration buffer between major acquisitions. Establish explicit FRE margin targets post-acquisition. Monitor acquired team retention rates as a leading indicator of integration health.

ANTI-004

MEDIUM CONFIDENCE

Geographic Expansion Without Local Origination Capability

Entering new geographies through fund distribution alone—without local origination teams and deal sourcing networks—results in subscale positions that dilute platform resources.

OWL: 85% Americas, international presence nascent—has not demonstrated ability to replicate US origination model. **EQT**: Chose acquisition (BPEA) over organic entry because 5–7 year organic geographic expansion timelines were too slow.

PAX warning: If expanding beyond LatAm, ensure each entry is supported by local origination teams or achieved through GPMS stakes in locally embedded managers. PAX's LatAm origination capability is its primary moat—distributing LatAm products to US/European LPs is sound; direct investing in unfamiliar geographies without local teams is not.

ANTI-005

MEDIUM CONFIDENCE

Dual-Class Governance Maintaining Persistent Valuation Discount

Dual-class structures are increasingly penalized by institutional investors and ESG-sensitive allocators. As the industry shifts to single-class (APO, KKR, BAM, EQT), holdouts face relative devaluation.

OWL: Dual-class Class A/B/C concentrates control with co-founders; governance discount from SPAC origin compounds the issue. **KKR**: C-Corp + single-class since 2018; S&P 500 inclusion in 2024 required this structure.

PAX warning: PAX's Cayman Islands dual-class structure (Class B concentrated among founders) imposes a governance discount. As market cap scales, this will increasingly constrain the investor base. Evaluate phased transition toward single-class shares through sunset provisions or proportional dilution.

Peer Evidence Points PAX Toward a Fee-Quality Strategy Anchored in Infrastructure, GPMS, and Credit—Not AUM Aggregation

The governance cascade below translates the valuation driver analysis and playbook into exploratory principles organized by decision level. Language is deliberately exploratory; all observations are grounded in peer evidence rather than prescriptive directives. Confidence levels reflect the strength of the underlying peer evidence and the assessed feasibility of adaptation to PAX's current capabilities.

BOARD-LEVEL PRINCIPLES

TL-B-001: Perpetual capital structures appear to be the strongest predictor of valuation premium

HIGH · DVR-001, DVR-004

OWL derives 91% of AUM from permanent capital and commands premium EV/FEAUM despite modest absolute scale. **BAM** reports 87% long-dated/perpetual. **KKR**'s perpetual share rose from ~20% to 43%, coinciding with record DE/share of $4.70. **PGHN**'s evergreen model delivers 84.2% FEAUM/AUM ratio—the highest in the universe.

PAX context: PAX's vehicle mix appears weighted toward drawdown and listed structures. Infrastructure ($15B) and credit ($8B) offer natural candidates for open-end or evergreen structures. GPMS ($1.5B) already operates with perpetual-capital-like economics. Exploring a deliberate shift in vehicle composition warrants board-level strategic discussion.

TL-B-002: Platform diversification across three or more asset classes appears to reduce DE/share volatility

HIGH · DVR-001, DVR-003

BX spans 4 segments with no single segment exceeding 39% of AUM. **KKR**'s diversification into credit, infrastructure, and RE produced record DE/share. In contrast, single-asset concentration (**EQT** at 80% PE+Infra) leaves FRE growth more dependent on fundraising cycles.

PAX context: PAX operates across 6 segments—breadth that exceeds several mega-alt peers in category count, though not per-segment scale. Board oversight of capital allocation across segments appears warranted to ensure each platform reaches minimum viable scale rather than dispersing resources across too many subscale verticals.

TL-B-003: Acquisitions succeed when they fill capability gaps rather than pursue AUM aggregation

MEDIUM · DVR-002, DVR-004

KKR's Global Atlantic created a captive perpetual capital pool. **APO**/Athene defined a new business model. Conversely, **EQT**'s acquisitions added $59B AUM but compressed margins and slowed FEAUM growth. **PGHN**'s organic-only model produced the most stable margin profile.

PAX context: PAX's recent acquisitions (iGah3 for growth equity, GPMS for GP stakes) follow the capability-gap model. The CFO transition suggests institutional readiness for continued M&A execution.

Prioritizing capability complementarity and FEAUM quality over headline AUM appears aligned with the evidence on value-creating M&A.

MANAGEMENT-LEVEL PRIORITIES

TL-M-001: FRE margin expansion appears achievable through operating leverage as FEAUM scales

MEDIUM · DVR-002, DVR-006

Peer evidence indicates margins inflect positively once fee-earning bases exceed critical thresholds. **BX** FRE margin expanded from ~53% to 57% as FEAUM grew. **KKR** FRE/share grew 37% YoY as management fees scaled. **PGHN** sustained 63–64% EBITDA margin through cost discipline.

PAX context: Credit platform expansion and GPMS represent new fee revenue streams with potentially low marginal cost once operational. Management attention to cost discipline during this scaling phase appears critical.

TL-M-002: Private wealth distribution channels are the fastest-growing capital source among peers

MEDIUM · DVR-003, DVR-004

KKR K-Series raised $16B+ in 2025 ($35B+ total). **PGHN** private wealth AUM grew from ~$25B to ~$45B, now 40% of new inflows. **EQT** EACI targets private wealth specifically.

PAX context: PAX's distribution appears primarily institutional. Brazil's FII market (R$200B+ AUM, 2M+ retail investors) and LatAm's expanding HNWI segment represent addressable channels for evergreen products.

TL-M-003: Insurance-linked capital has emerged as the defining structural advantage for top platforms

LOW · DVR-001, DVR-004

Insurance float consistently appears in the perpetual capital structures of top-performing peers by DE/share and FEAUM. The model has been replicated across **APO**/Athene, **KKR**/Global Atlantic, **BX**/BXCI, **ARES**/Aspida, and **BAM**/BNT.

PAX context: PAX has no insurance-linked channel. LatAm insurers seeking yield alternatives in a high-rate environment may represent an unexplored partnership opportunity. This is a longer-term exploration rather than a near-term execution priority.

BUSINESS UNIT IMPLICATIONS

Private Equity

TL-PE-001: Growth equity integration alongside traditional buyout broadens the investable universe. The iGah3 acquisition fills a product gap, following the pattern at **BX** Growth, **KKR** Next Gen Tech, and **EQT** Growth. Integration execution—retaining investment professionals and aligning fund economics—appears critical.

TL-PE-002: Operational value creation capabilities differentiate PE platforms. **KKR** Capstone (60+ dedicated professionals) and **EQT** Motherbrain (AI-driven sourcing) are cited by LPs as allocation differentiators. Selective investment in sector-specific LatAm playbooks warrants exploration. `LOW`

Infrastructure

TL-INF-001: Open-end and core/core+ infrastructure vehicles appear to be the most effective mechanism for converting infrastructure AUM into perpetual FEAUM. **BAM** Super-Core, **EQT** EACI, and listed BIP demonstrate the model. Launching a core/core+ open-end vehicle is potentially the single highest-impact product initiative for PAX. `HIGH`

TL-INF-002: Infrastructure credit is emerging as a distinct sub-asset class where infrastructure expertise and credit origination converge. PAX's dual franchise position (infra + credit) creates unexplored cross-platform synergy. `MEDIUM`

Credit

TL-CR-001: Permanent credit vehicles (BDC-equivalent structures) dramatically improve fee durability. **ARES** ARCC (`$30B+`), **OWL** BDCs anchor 55% of AUM. Brazil's FIDC regulatory framework could provide a BDC-analog in LatAm with both institutional and retail capital appeal. `MEDIUM`

GPMS / Solutions

TL-GPMS-001: GP stakes platforms generate the highest fee durability and FRE margins in the industry. PAX's first-mover positioning in LatAm GP stakes suggests a distinctive franchise with compounding network effects. Scaling toward $5–10B warrants exploration as the compounding effect—portfolio GP AUM growth translates to proportional fee participation—appears to be the highest-quality revenue stream for a mid-scale manager. `HIGH`

TL-GPMS-002: Distribution value beyond capital provision differentiates the most successful GP stakes programs. PAX's LatAm LP network could serve portfolio GPs seeking regional capital, creating a moat global players cannot replicate. `MEDIUM`

Real Estate

TL-RE-001: Brazil's FII market growth and Mexico nearshoring-driven logistics/industrial demand suggest RE, while PAX's smallest segment, may offer capital-efficient growth through listed structures rather than direct platform scaling. GPMS provides indirect exposure through RE-focused GP stakes. `LOW`

Public Equities & Advisory

TL-PEQ-001: Public equities capabilities complement alternatives primarily as distribution and LP engagement tools. PAX's public equities segment is differentiated among LatAm alt managers and may serve a strategic role beyond direct fee contribution: LP retention, talent retention, and market intelligence.

TL-ADV-001: Advisory capabilities generate highest value when integrated with investment origination. GPMS portfolio GPs could benefit from PAX's LatAm capital markets expertise. `LOW`

Synthesis: The governance cascade converges on three high-conviction themes: (1) convert infrastructure and credit franchises to perpetual/semi-permanent vehicles to improve FEAUM quality; (2) scale GPMS as a uniquely defensible LatAm franchise with compounding network effects; (3) maintain fee rate discipline as the primary mechanism for DE/share improvement, resisting the temptation to chase AUM through low-fee products. The insurance-linked capital model, while transformative for mega-alts, represents a longer-term exploration for PAX given current scale and capability constraints.

The Peer Analysis Is Directionally Robust, but Causal Claims Should Remain Hedged

Universe Construction

The peer universe comprises 23 publicly listed alternative asset managers selected based on: (1) >50% of revenue or strategic identity derived from alternative asset management, (2) public listing on a major exchange with audited financial disclosures, and (3) relevance to PAX's business model, scale range, or strategic trajectory. Eight firms were excluded due to delisting (AMK, PHL), acquisition (SCU), non-listing (PAG), or structural non-comparability (3i, BN, BNT, BIP).

Metric Framework

Thirty-one metrics were cataloged across 9 categories: earnings (3), scale (4), organic growth (2), mix/diversification (3), efficiency (3), fee quality (2), operational feasibility (8), valuation multiples (3), and market structure (3). Twenty-five metrics were designated as driver candidates; 3 valuation multiples served as dependent variables; 3 market structure metrics were contextual-only.

Statistical Approach

PARAMETER	SPECIFICATION
Method	Spearman rank correlation (non-parametric)
Rationale	Robust to outliers and non-normality; appropriate for small N (~25); does not require distributional assumptions
Dependent variables	P/FRE, P/DE, EV/FEAUM
Independent variables	25 candidate metrics (reduced to ~17 after coverage filtering and collinearity exclusion)
Sample sizes	N = 5 to 18 per pair (varies by disclosure availability)
Significance	Two-tailed p-values; rho ~0.40 significant at $p < 0.05$ with N = 25
Multiple testing	Benjamini-Hochberg FDR at q = 0.10
Coverage rule	Metrics with <60% universe coverage reclassified as contextual-only
Collinearity	MET-VD-019 (FEAUM/Employee) excluded as inverse of MET-VD-018 (Headcount/FEAUM)
Total correlations	22 pair-wise tests computed

Classification Rules

CLASSIFICATION	CRITERION	COUNT
`STABLE VALUE DRIVER`	|rho| ≥ 0.5 on at least 2 of 3 multiples (stable_v1_two_of_three)	1
`MULTIPLE-SPECIFIC`	|rho| ≥ 0.5 on exactly 1 multiple; fails stable rule	3
`CONTEXTUAL`	|rho| < 0.5 on all multiples, or below 60% coverage	10
Unsupported	Not defensible for strategic interpretation	0

Limitations

- **Correlation, not causation.** Cross-sectional rank correlation identifies statistical associations but cannot establish causal relationships. The finding that DE/share correlates with EV/FEAUM does not prove that improving DE/share will mechanically increase EV/FEAUM.
- **Small sample sizes.** P/DE correlations are based on as few as 5–6 firms due to limited DE disclosure among non-US-listed managers. Only one correlation (COR-001: DE/share vs. EV/FEAUM, p = 0.014) achieves statistical significance after FDR correction.
- **Non-GAAP heterogeneity.** Distributable earnings, FRE, and FEAUM are non-GAAP measures with significant definition differences across firms. Compensation treatment, performance fee inclusion, and tax adjustments vary. Cross-firm comparisons should be interpreted with this caveat.
- **Survivorship bias.** The universe includes only currently listed firms. Managers that failed, were acquired, or went private are excluded, potentially biasing toward strategies that happened to succeed during this period.
- **Point-in-time analysis.** Correlations reflect a single cross-section (FY2024/H1 2025 data). The relative importance of drivers may shift across market cycles.
- **Currency effects.** AUM and earnings figures for non-USD-reporting firms were converted at period-end exchange rates. FX movements may distort cross-firm comparisons, particularly for PAX (BRL-denominated operations, USD reporting).

Data Sources

All financial data sourced from public filings (10-K, 20-F, annual reports), earnings supplements, investor presentations, and earnings call transcripts. AUM data as of Q4 2025 (most firms) or latest available disclosure. Market data (share prices, market capitalization) as of January 2026. Supplemental industry data from Preqin, Pitchbook, and S&P Global Market Intelligence. Each source carries a bias tag: `regulatory-filing`, `company-produced`, `third-party-analyst`, or `industry-report`.

Pipeline: Valuation Driver Analysis (VDA). Target: PAX (NASDAQ). Run: 2026-03-09-run2. Generated: 9 March 2026. Methodology reference: docs/pax-first-valuation-driver-methodology.md.